

Chapter :-Saving and Investment Function

SAVING AND INVESTMENT FUNCTION

1. Saving Function

Definition :-Saving function refers to the functional relationship between saving and income. It is the difference between consumption and income.

Formula:

$$S = f(Y)$$

$$S = Y - C$$

Where:

S = Saving

Y = Income

C = Consumption

The saving function shows how saving changes with changes in income.

Important Points:

- Saving curve has a positive slope.
- It begins from the autonomous consumption point showing dissaving.
- Break-even point occurs when saving is zero and consumption equals income.

Saving Equation:

$$S = -C\text{-bar} + (1-b)Y$$

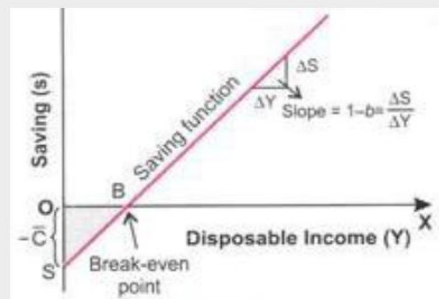
Where:

b = MPC (slope of consumption curve)

1-b = MPS (slope of saving curve)

SAVING SCHEDULE AND CURVE

Income Y	Consumption C	Savings S
0	20	-20
60	70	-10
120	120	0
180	170	10
240	220	20
300	270	30
360	320	40



2. Propensity to Save

APS (Average Propensity to Save):

$$APS = S / Y$$

It represents the ratio of total saving to total income.

MPS (Marginal Propensity to Save):

$$MPS = \Delta S / \Delta Y$$

It represents the change in saving due to change in income.

3. Relationship Between Propensities

Average Relationship:

$$APC + APS = 1$$

Because:

$$Y = C + S$$

Marginal Relationship:

$$MPC + MPS = 1$$

Because:

$$\Delta Y = \Delta C + \Delta S$$

2. Investment Function

Investment refers to expenditure incurred on the creation of new capital assets such as machines, buildings, equipment and raw materials.

Investment increases the productive capacity of an economy.

Investment expenditure → Creation of capital assets → Higher productive capacity

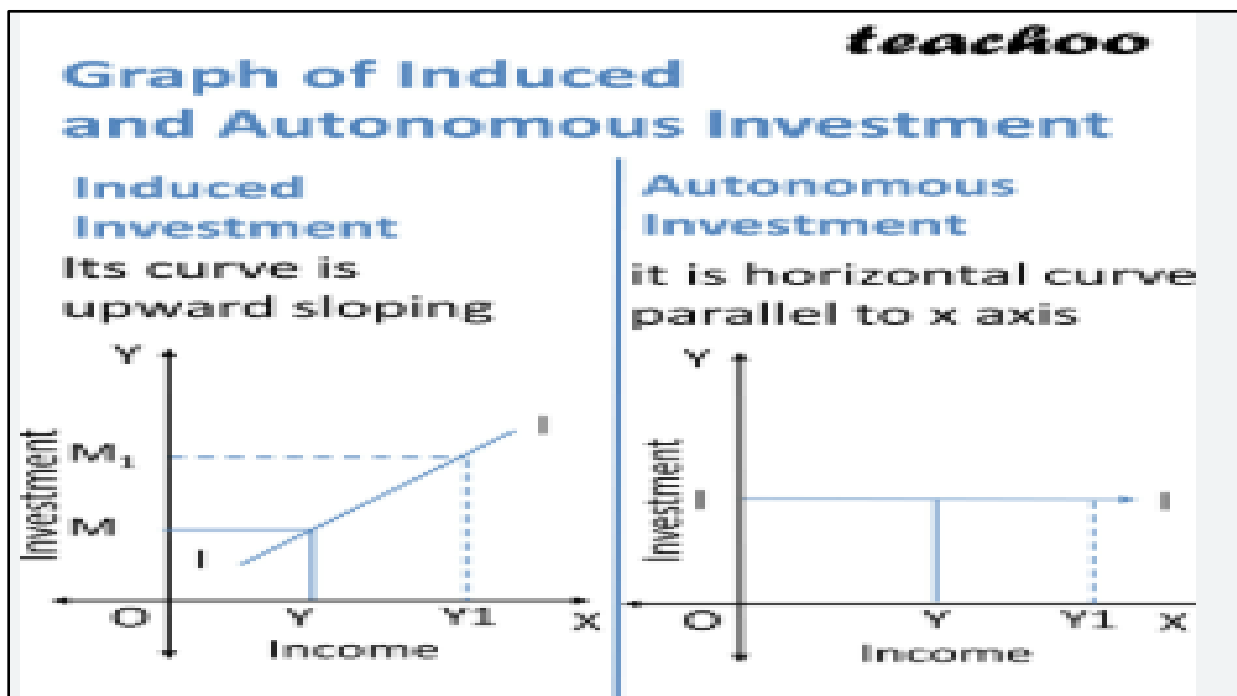
1.Types of Investment

Induced Investment:

- Depends on income level and profit expectations.
- Changes with changes in income.
- It is income elastic.
- Its curve is upward sloping.

2. Autonomous Investment:

- Does not depend on income changes.
- It is income inelastic.
- It is generally undertaken for social welfare.
- Its curve is parallel to the X-axis.



6. Determinants of Investment

According to Keynes, investment depends mainly on:

MEI (Marginal Efficiency of Investment):

It is the expected rate of return from an investment project.

Rate of Interest:

It is the cost of borrowing funds.

Relationship:

Higher Rate of Interest → Lower Investment

Lower Rate of Interest → Higher Investment

Ex-Ante and Ex-Post Investment

Ex-Ante Investment:

- Planned or desired investment.
- Represents intention to invest.

Ex-Post Investment:

- Actual or realised investment.
- Considered in national income calculation.

Saving Function: $S = f(Y)$, $S = Y - C$

Break-even Point: $S = 0$ and $C = Y$

APS: S/Y

MPS: $\Delta S/\Delta Y$

APC + APS = 1

MPC + MPS = 1

Induced Investment: Influenced by income

Autonomous Investment: Independent of income

Investment Determinants: MEI and Rate of Interest